(price trending up). I measured this using the price of the trend start (see the Glossary for a definition) compared to point 1.

I will say that Figure 75.3 is very choppy-looking, as if the stock is having a tough time finding a trend. Compare that to Figure 75.1, where the stock chart looks smoother, less choppy.

Let's discuss performance statistics for the Wolfe wave.

Statistics

Table 75.2 shows general statistics.

Number found. Wolfe waves are plentiful. I found 7,077 in 1,221 stocks from January 1990 to June 2019. Not all stocks covered the entire span, and some no longer trade.

Average decline. If you want to make money with this pattern, it'll be easier in a bear market, according to the statistics. In an apples-to-apples comparison with other types of chart patterns (from the peak at point 5 to the ultimate low), the drop falls well short of what other chart patterns average in both bull and bear markets.

Measured from the peak at point 5 to the EPA line (for those stocks which declined that far), the average decline is 9% in bull markets, but 14% in bear markets.

Breakeven failure rate. This is a measure of how many Wolfe waves fail to see price drop more than 5% from the high at point 5 (on the way down to the ultimate low, or to the EPA line). The two measures are different. The ultimate low uses a *close* above the top of point 5 or a rise of 20% off a low (see the Glossary, “Ultimate low,” for a better, more thorough explanation), but the failure rate for the EPA line uses the high price at point 5 to the low price that touches or drops below the EPA line.

The average failure rate in bull markets (and downward breakouts) for all chart pattern types is 24.7%, and in bear markets it's 10.6%. So the Wolfe wave is better (lower failure rates) than both of those measures.

Time to reach. The EPA line is the one connecting turns 1 and 4. The drop is fast, about 2 weeks, to reach the line on average. So you can make a